



Hidden in Plain Sight: 20 Global CX Blindspots Uncovered

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Stellar Elements
An Amdocs Company



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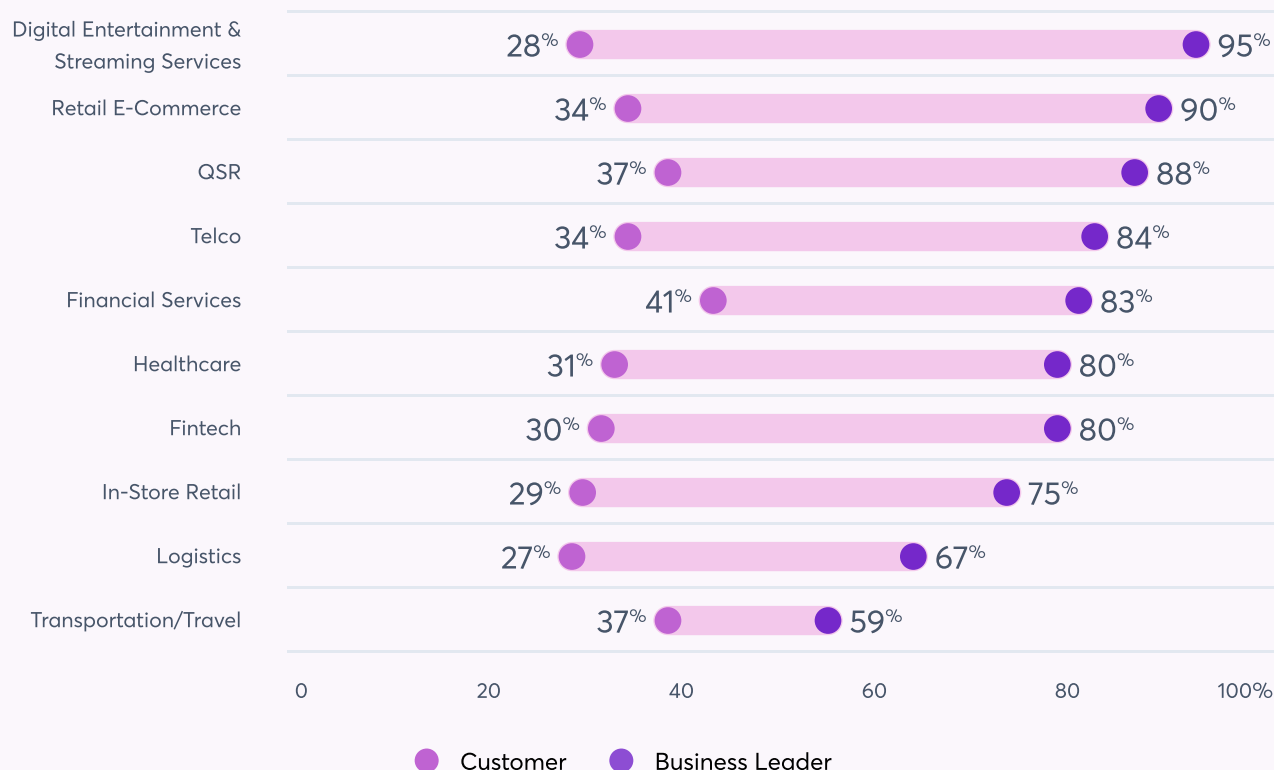
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Customer expectations keep growing. And businesses continue to face a persistent issue: the widening gap between experiences customers want versus what companies deliver—the **Experience Gap**. Despite heavy investments in tech, process, and data, the gap remains—and it's a big problem for growth and profits. Simply meeting expectations is no longer enough.

Industry CX Reality Check: Leader Confidence vs. Customer Experience



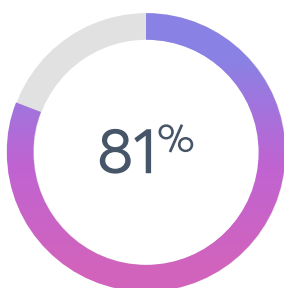
Customer Survey Q3b. Thinking about your experience as a customer at (industry) how SATISFIED are you with "The company I choose to do business with lives up to what I expect from them."

Business Leader Survey Q6: Please rate your level of agreement with the following statement: Our company meets customer expectations with what we currently deliver.

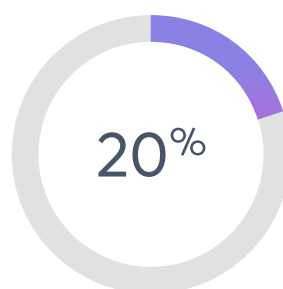


The pivotal challenge for business leaders today extends far beyond customer satisfaction; it's about having a meaningful impact on their lives. How do you build exceptional, ownable experiences that resonate deeply? What does it take to design and build what truly matters to people and your business? Brands must pinpoint and elevate areas where their customer experience (CX) falls short. This isn't just an upgrade; it's a complete reinvention of how customers feel, interact, and connect with you.

Believing isn't seeing: While 81% of leaders believe they excel in CX, only 20% of customers agree.



81% of leaders think their companies meet customer expectations.

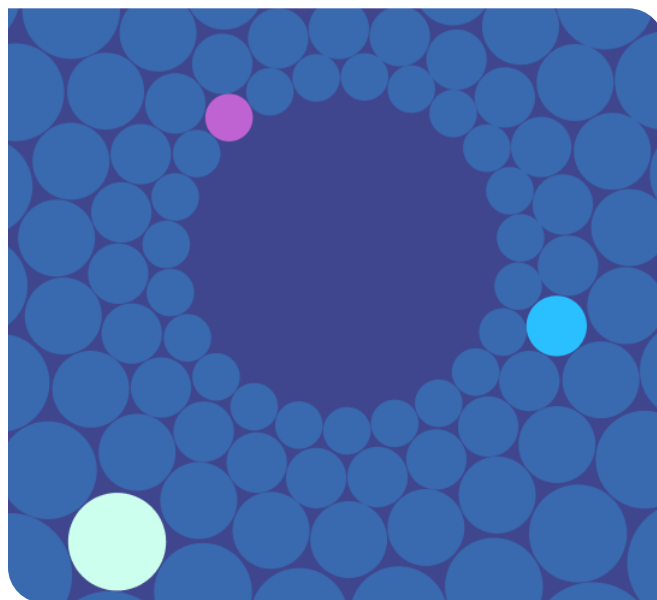


20% of customers strongly agreed.

At the core of this disconnect is a fundamental misinterpretation of CX. Many business leaders mistakenly conflate CX to customer service and product quality (78%). These are essential factors, but the reality is that CX is all-encompassing, involving every interaction a customer has with a business, whether positive, negative, or neutral, and deeply influencing their perception.



Customer service and product quality are well measured within organizations. They are right there on the surface; however, beneath the surface lie persistent, often hidden gaps—the CX blind spots. These are the 20 distinct yet interconnected gaps that Stellar Elements has identified within the overarching Experience Gap.



Our two decades of client partnerships revealed these hidden CX gaps, and our original research now confirms these as global issues, with 93% of business leaders acknowledging having at least three CX gaps within their organizations currently.

Identifying and bridging CX gaps is critical to realizing the potential within a business' existing investments in technology, teams, and data to increase revenue, margin, and brand loyalty. Stellar Elements' extensive qualitative and quantitative research, surveying 526 business leaders and 2,013 consumers worldwide, focused on key CX areas: perception, data and analytics, technology, operations, and engagement.

Our findings provide actionable strategies for businesses to transform CX challenges into tomorrow's opportunities.



CX Uncovered: Worldwide Industry Insights



10

INDUSTRIES

- Telco
- Financial Services
- Fintech
- QSR
- Retail E-Commerce
- Retail In-Store
- Digital Entertainment & Streaming Services
- Healthcare
- Logistics
- Transportation/Travel

QUANTITATIVE

254

CX BUSINESS LEADERS

177

CX BUSINESS LEADERS

95

CX BUSINESS LEADERS

1,213

END CUSTOMERS

541

END CUSTOMERS

255

END CUSTOMERS

QUALITATIVE

5_{US}

CX BUSINESS LEADERS

1_{UK}

CX BUSINESS LEADER

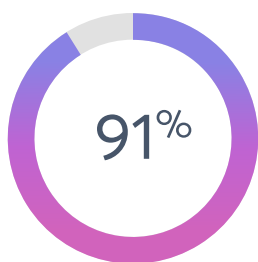
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CX BUSINESS LEADER

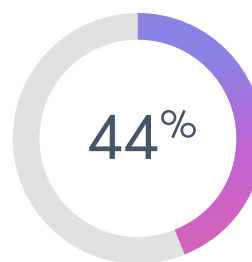


Introducing Stellar Elements' CX20: A Strategic Tool for Boosting Revenue and Margins

While 91% of leaders acknowledge CX's role in revenue generation, only 44% prioritize CX investment—indicating a significant gap. This original research reveals CX gaps as potential revenue sources, yet 60% of leaders cite inadequate technology as a barrier to leveraging these opportunities, underscoring the need for targeted tech investments.



91% of business leaders acknowledged that CX played a central role in revenue generation.



44% considered investing in CX to be extremely important.

Through research and hands-on experience, we pinpointed 20 critical CX gaps. Recognizing these often-hidden gaps allows leaders to uncover deeper issues within their organizations. **This white paper covers the top 5 Global CX Gaps: Service Gap, CX Perception Gap, AI Readiness Gap, Integration Gap, and Communication Gap.**

To close these CX gaps, businesses need to make a strategic shift in how they view CX. It's not just about product and service quality anymore. Leaders need to dig deeper, look beyond the surface-level CX elements, and adopt a holistic strategy across the entire organization. This is crucial for achieving both near-term gains and long-term growth.

Our research has uncovered a significant discrepancy between how businesses perceive customer experience (CX) and the actual experiences of their customers. While business leaders acknowledge the existence of these gaps—and recognize that they are worsening—customers perceive them as even larger and growing more rapidly. For example, 58% of customers observe the Service Gap expanding, compared to only 35% of leaders, representing a 23% difference.



“

"A gap is just another word for an opportunity—an opportunity to align mindsets, improve technology, and drive continuous revenue growth."

Jeannette Michels

Sr. Director of Marketing Strategy, Insights & Analytics



10 Industries Analyzed and Their Priority CX Gaps



Telco

Integration Gap
CX Perception Gap
Innovation Gap
Talent Gap
Service Gap



Financial Services

Communication Gap
Innovation Gap
AI Readiness Gap
Personalization Gap
Service Gap



Fintech

Integration Gap
Innovation Gap
Scalability Gap
Feedback Gap
CX Perception Gap



Quick Service Restaurants (QSR)

Service Gap
Consistency Gap
Feedback Gap
CX Perception Gap
AI Readiness Gap



Transportation/Travel

Communication Gap
Human-Tech Balance Gap
Consistency Gap
Service Gap
Talent Gap



Digital Entertainment & Streaming Services

Measurement Gap
Segmentation Gap
Process Gap
Consistency Gap
Scalability Gap



Retail E-Commerce

Integration Gap
CX Perception Gap
AI Readiness Gap
Innovation Gap
Service Gap



Retail In-Store

Service Gap
Feedback Gap
Consistency Gap
Expectation Gap
AI Readiness Gap



Healthcare

Feedback Gap
Service Gap
Trust Gap
Integration Gap
Talent Gap



Logistics

Communication Gap
CX Perception Gap
Service Gap
Consistency Gap
Expectation Gap





The Service Gap

The gap between the high-quality service that customers expect and the actual service they receive.

THE SERVICE GAP

The gap between the high-quality service that customers expect and the actual service they receive.

Service gaps erode customer trust and loyalty. It's more than just support; it involves how a company interacts with customers at every turn. Our research indicates 80% of industries see addressing the Service Gap as vital.

The Service Gap Quick Hits

Failing to provide customers with the high-quality service they expect can erode trust, satisfaction, and loyalty. This gap highlights the importance of human interactions in service delivery.

The Service Gap is a top 5 gap in 8 out of the 10 industries analyzed: Retail In-Store, QSR, Financial Services, Logistics, Retail E-Commerce, Healthcare, Telco, and Transportation/Travel.

PRIMARY GAP



Retail
In-Store

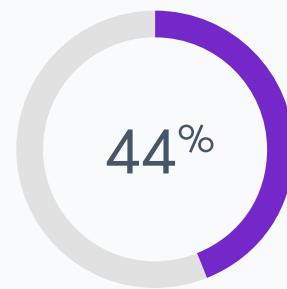


QSR

35%

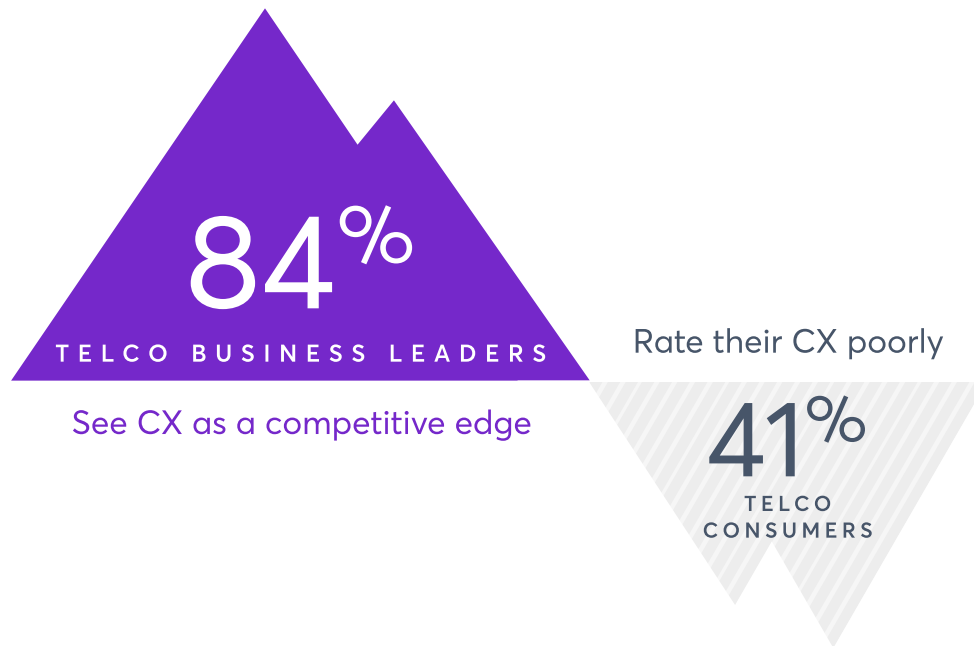


35% of business leaders believe
this gap is widening.



44% of business leaders attribute the gap
widening to inadequate employee
staffing or training.





In retail and QSRs, the Service Gap is a top issue. E-commerce retailers often lack staff affecting service quality, and 80% of QSR leaders blame budget cuts for not hiring the necessary service staff. **Over half of in-store retail leaders notice the Service Gap growing due to inconsistent online and in-store customer experiences.**

The Service Gap is closely tied to consistent, personalized service and customer feedback. For example, 71% of financial service leaders believe their service falls short due to inadequate customer feedback. In telco, 84% of professionals see CX as a competitive edge, but 41% of customers rate their experience poorly.

Solving the Service Gap requires tailored solutions. Some organizations need better Integration, Automation, and AI, while others should focus on Consistency, Personalization, and Feedback. Effective strategies must align with the unique contexts of the individual business and its customers. There is no "one size fits all" solution.





The CX Perception Gap

The disconnect between a company's understanding of the experiences they deliver and the customer's actual perception of them.

THE CX PERCEPTION GAP

The disconnect between a company's understanding of the experiences they deliver and the customer's actual perception of them.

When businesses don't fully grasp how customers perceive their brand, they risk both wasted investments and unmet expectations. The CX Perception Gap—an internal misalignment—leads to overlooked improvements and a misplaced sense of confidence in CX strategies. Over 50% in five out of ten surveyed industries see this gap widening and as a key challenge.

CX Perception Gap Quick Hits

Leaders see a lack of talent/training and general insufficient resources as key culprits of the growing CX Perception Gap, limiting their ability to truly understand how customers perceive the experiences their company delivers.

The CX Perception Gap is a top 5 gap in 5 out of the 10 industries analyzed: Fintech, Logistics, Retail E-Commerce, QSR, and Telco.

PRIMARY GAP



Fintech



Retail
E-Commerce



Logistics



QSR

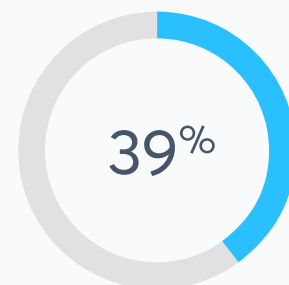


Telco

50%

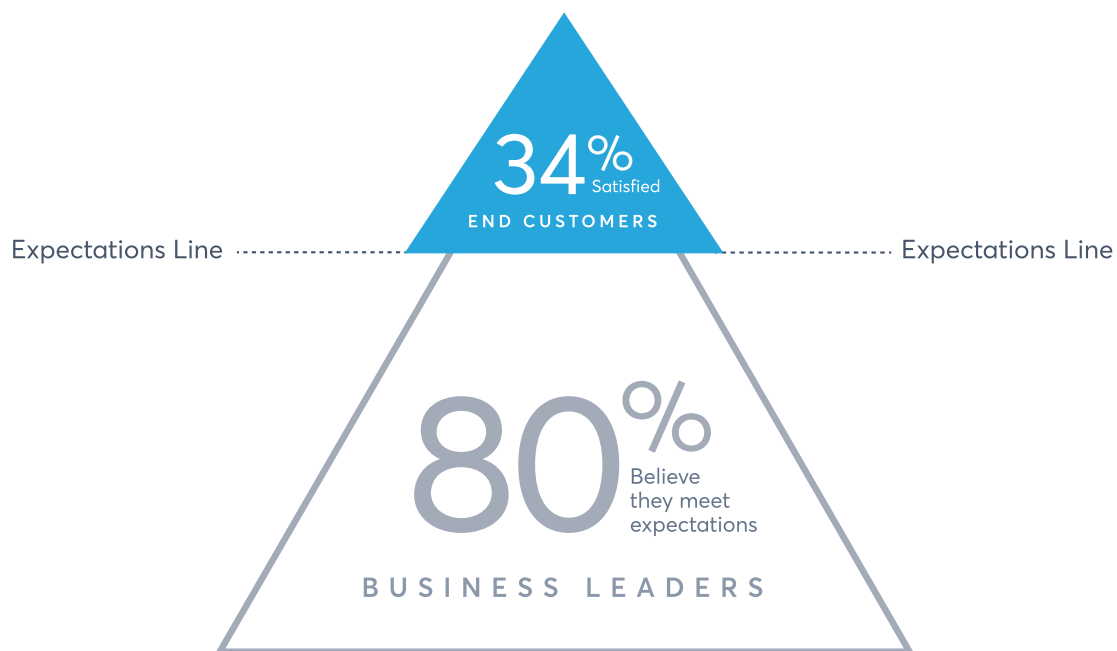


50% of business leaders believe this gap is widening.



39% of business leaders attribute the gap widening to inadequate employee staffing or training while 36% point to insufficient resources as key reasons for why this gap is widening.





In telco and retail e-commerce, the research finds **leaders often misjudge their CX quality compared to actual customer experiences**. Over half of telco leaders attribute this to limited resources, while 44% of e-commerce leaders cite inconsistent customer touchpoints and cost cutting as major issues.

A leader in our study describes the dilemma: "People expect immediate responses. They expect everything to arrive at their doorsteps within two days because of Amazon. We try to provide a good CX, but because we are a smaller company, we don't act. We don't run like an Amazon. People's perception of us is different."

The lack of effective feedback systems widens this gap, directly impacting expectations, trust, and value alignment. There's a stark contrast: only 34% of customers are very satisfied with companies meeting their expectations, while 80% of business leaders believe they are meeting these expectations.

Misalignments between a company's perception of its CX and the customer's reality can widen expectation gaps, with unclear messaging and overpromising in marketing deepening trust issues.

Pinpointing the CX Perception Gap and its root causes is challenging, but the key lies in better understanding customer perceptions across all interactions. Sharing customer feedback across the organization is essential. With enhanced feedback systems and deeper insights into customer interactions, businesses can make informed decisions based on actual customer experiences.





The AI Readiness Gap

The uncertainty in whether to adopt AI technologies, primarily due to resource limitations or lack of expertise.

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The uncertainty in whether to adopt AI technologies, primarily due to resource limitations or lack of expertise.

Technological progress, notably in AI/ML, is increasing resistance to change. The AI Readiness Gap often arises not from ignorance but from limited resources or in-house expertise, leading to delays in successfully implementing intelligent services.

AI Readiness Gap Quick Hits

Unsurprisingly, leaders are increasingly uncertain whether to adopt AI technologies due to the resource limitations—leading to insufficient/inadequate technology—and lack of expertise.

The AI Readiness Gap is a top 5 gap in 4 out of the 10 industries analyzed: Financial Services, Retail E-Commerce, Retail In-Store, and QSR.

PRIMARY GAP



Financial
Services



Retail
E-Commerce



Retail
In-Store

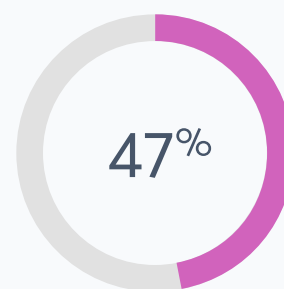


QSR

50%

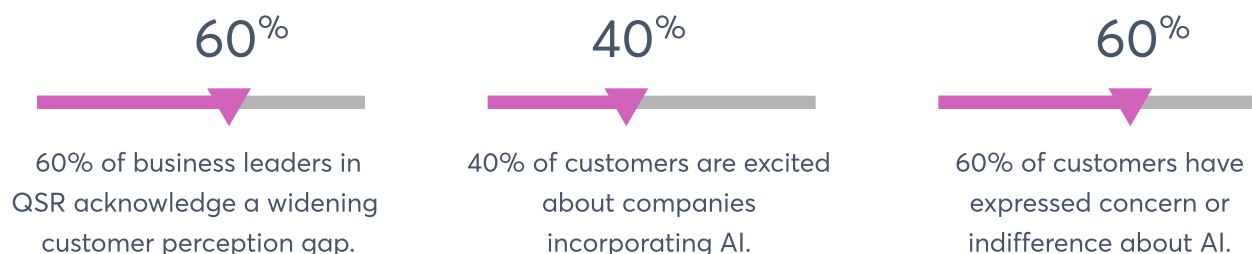


50% of business leaders believe
this gap is widening.



47% of business leaders attribute the gap
widening due to a lack of inadequate
technology and 41% attribute it to
inadequate employee staffing or training.





Our research shows that AI Readiness is a key CX challenge in four industries. In financial services, **half of the leaders point to a lack of staff training and technological advancement for the gap.**

Additionally, 60% of leaders in the QSR industry acknowledge a widening AI Readiness Gap, emphasizing the importance of customer perception of AI. 40% of customers indicated they are "excited" about companies incorporating AI; however, 60% of customers expressed they were "concerned" or "indifferent."

The availability of quality data is crucial for AI effectiveness. A financial sector respondent highlighted, "While I'm excited about AI, I think we must be cautious. Without the right data, no AI will provide the right outcome—or customers aren't going to believe the outcome it provides."

"While I'm excited about AI, I think we must be cautious. Without the right data, no AI will provide the right outcome—or customers aren't going to believe the outcome it provides."

FINANCIAL SECTOR RESPONDENT



CIO/CTO & IT DMs

CIOs, CTOs, and IT Decision Makers ranked the AI Readiness Gap as their top gap to address.

The integration of AI poses both obstacles and opportunities affecting Automation, Innovation, and Human-Tech Balance. AI is crucial for automating and enhancing CX, yet an overreliance can create a Human-Tech Balance Gap—leaving customers longing for human interaction.

These challenges—AI Readiness, Automation, Human-Tech Balance—are linked to innovation. Many organizations face difficulties in resources or cultural adaptation for meaningful innovation.

To transform these gaps into opportunities, leaders must navigate between trends and practical investments, focusing on solutions that match their specific needs.

TOP GAPS TO ADDRESS (RANKING)

AI Readiness Gap

Integration Gap

Feedback Gap

Human-Tech Balance Gap

TOP GAPS WIDENING

Talent Gaps

56%

AI Readiness Gap

50%

CX Perception Gap

45%





The Integration Gap

The failure to provide the seamless, integrated experience expected by customers.

THE INTEGRATION GAP

The failure to provide the seamless, integrated experience expected by customers.

Customer experiences vary widely, influenced by factors from buying habits, to budget, to post-sales service needs. Businesses, therefore, must adapt to varied customer experiences across multiple channels and touchpoints. Notably, leaders from four out of ten industries surveyed rank the Integration Gap among their top five challenges, with 43% seeing it as a growing issue.

Integration Gap Quick Hits

Leaders attribute the widening Integration Gap—encompassing all touchpoints (human and tech)—to disparate systems, processes, technology, and organizational disarray that result in broken customer experiences.

The Integration Gap is a top 5 gap in 4 out of the 10 industries analyzed: Fintech, Retail E-Commerce, Telco, and Healthcare.

PRIMARY GAP



Fintech



Retail
E-Commerce

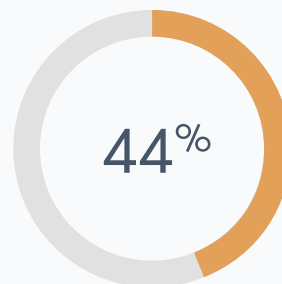


Telco

43%

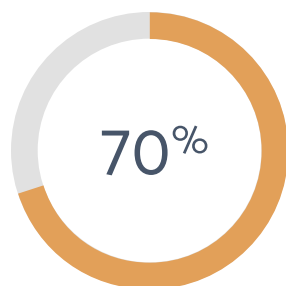


43% of business leaders believe
this gap is widening.

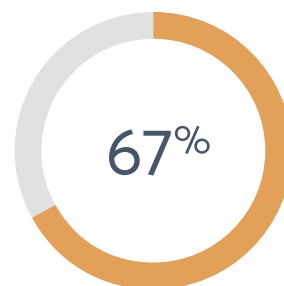


44% of business leaders attribute the gap
widening to rapid company growth.





70% of fintech business leaders pinpoint unclear CX metrics as the key reason why they are unable to provide seamless, integrated experiences.



67% of healthcare leaders said a lack of personalization also added to their Integration Gap widening.

The Integration Gap is particularly pressing in fintech, healthcare, telco, and retail e-commerce. 44% percent of leaders across these sectors link the problem to rapid organizational growth, which often results in disjointed systems, processes, and technology, leading to inconsistent customer experiences.

Fintech leaders place the highest emphasis on the Integration Gap, with 70% citing unclear CX metrics as a primary cause, hindering their ability to provide seamless experiences. In healthcare, 67% of leaders attribute their widening Integration Gap to insufficient personalization efforts.





The Communication Gap

The failure to provide the clear, consistent communication that customers expect.

THE COMMUNICATION GAP

The failure to provide the clear, consistent communication that customers expect.

The Communication Gap isn't just about words; it's a critical issue that causes customer confusion and mistrust—significantly impacting the overall experience. Core problems like ambiguous messaging, poor channel management, and lack of oversight drive this gap.

Communication Gap Quick Hits

Unclear and inconsistent communication channels, ambiguous messaging, poor channel management, and a lack of oversight contribute to this gap.

The Communication Gap is a top 5 gap in 3 out of the 10 industries analyzed: Financial Services, Logistics, and Transportation/Travel.

TAKES PRECEDENCE



Financial
Services



Logistics

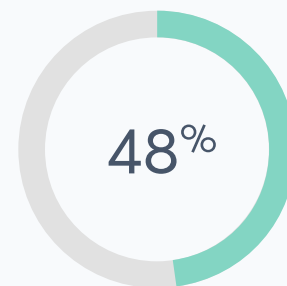


Transportation
/Travel

40%



40% of business leaders believe
this gap is widening.



48% of business leaders cite a lack of
customer feedback while 42% point to
insufficient resources as key reasons for
the gap widening.



In three key industries, this gap is a top concern, with 40% of leaders acknowledging its expansion. The primary challenge lies in the scarcity of skilled staff, leading to service delays and inconsistencies.

In sectors like financial services, logistics, and transportation, the urgency to address this gap is high. Logistics and transportation are feeling the strain of budget cuts, while 48% of financial service leaders attribute the gap to inadequate customer feedback.

Echoing this concern, a financial services leader stated, "I believe that communication and the ability to genuinely demonstrate empathy in our customer experience is a critical gap. People want to do business with financial services companies that are always there for them when they need help or have concerns."

"I believe that communication and the ability to genuinely demonstrate empathy in our customer experiences is a critical gap. People want to do business with financial services companies that are always there for them when they need help or have concerns."

GLOBAL BUSINESS LEADER,
QUALITATIVE PARTICIPANT NO. 5



Effectively closing the Communication Gap requires a blend of skilled human interaction and advanced technology like AI, particularly for personalization. But AI must be integrated with robust feedback systems to truly make a difference.

Closing the Communication Gap is not just an operational necessity but a strategic advantage. Clear and timely communication is highly valued by customers and can set a business apart. Leaders must strategically combine AI capabilities with the essential human touch—especially in sectors like financial services where trust and reliability are paramount.

This isn't just a fix; it's a step towards securing a competitive edge in today's market.



Uncovering the Hidden Opportunities within the CX20

The CX20 gaps within the Experience Gap are crucial—and businesses can't afford to ignore them. By examining these CX blind spots, leaders can align their strategies to drive real innovation, turning these gaps into solid growth opportunities.

Stellar Elements' CX20 offers a clear framework for leaders to tackle these challenges head-on. Understanding their CX blind spots, organizations can innovate more effectively and distinctively.



"There's an opportunity for companies to leapfrog the competition in ways that weren't always possible before. Achieving this will require identifying and partnering with CX experts who are visionaries in their field."

Qualitative Participant, No. 7



Ready to step up your customer experience game?

These gaps are common across industries
—but your business and brand are unique.

Dive deeper into the CX20 to find your own unique
hidden opportunities within the gaps.

Let's Connect

